



**Bureau of Experts at the Council of Ministers
Official Translation Department**

Law of the General Authority for Endowments

Royal Decree No. M/11
December 8, 2015

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

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Law of the General Authority for Endowments

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

Authority: General Authority for Endowments.

Board: Board of Directors of the Authority.

Chairman: Chairman of the Board.

Governor: Governor of the Authority.

Public Endowment: An endowment dedicated to general charitable causes, whether designated or described.

Private (Family) Endowment: An endowment dedicated to descendants and relatives, whether designated or described.

Joint Endowment: An endowment which combines more than one type of endowment.

Endower: A person who establishes an endowment.

Endower's Conditions: Conditions set by the endower relating to the endowment or its revenue, disbursement, trustee, or beneficiary.

Beneficiary: A beneficiary of an endowment as per the endower's conditions.

Trustee: A natural or legal person in charge of the trusteeship of an endowment.

Trusteeship: Actions taken to serve the interest of an endowment's property and revenue, including maintaining, leasing, developing, and repairing the endowment and legally representing it as well as disbursing its yields, in accordance with the endower's conditions.

Administration: The powers assigned by a trustee to a natural or legal person relating to the management of the affairs of the endowment in terms of maintenance, leasing, development, and repair.

Article 2

The General Authority for Endowments is a public entity with an independent legal personality and financial and administrative independence, which reports to the Prime Minister. It shall undertake the duties and functions assigned thereto under this Law. Its headquarters shall be in the city of Riyadh and it may, when necessary, establish branches inside the Kingdom.

Article 3

The Authority aims to regulate, protect, and develop endowments so as to fulfill the conditions of endowers and promote the role of endowments in economic and social development and social solidarity, in accordance with the law and the purposes of Sharia.



Article 4

1. The Authority shall oversee all public, private (family), and joint endowments in accordance with the provisions of Article 5(5) of this Law.
2. The Authority shall oversee the work of trustees appointed by endowers within the limits of the law and without violating the endowers' conditions or interfering with trusteeship duties.

Article 5

The Authority shall assume the following duties:

1. Documenting and registering all endowments in the Kingdom.
2. Creating an inventory and database of all endowed property.
3. Assuming trusteeship of the following endowments:
 - a) Public, private (family), and joint endowments, unless the endower stipulates that an individual or entity other than the Authority shall assume trusteeship.
 - b) Endowments of Hajj and Umrah Miqats.
4. Assuming administration of endowments overseen by a trustee other than the Authority at the request of the endower or the trustee.
5. Overseeing the work of trustees and taking the legal measures necessary to achieve the endowments' objectives without interfering with trusteeship duties by taking the following actions:
 - a) Reviewing the annual accounting reports of endowments.
 - b) Providing trustees with technical support and information.
 - c) Providing financial and administrative consultation without violating the endower's conditions.
 - d) Assigning a representative to attend general assembly meetings, or meetings of the boards of directors for endowments that do not have general assemblies, when the annual financial report of the endowment is reviewed.
 - e) Requesting the replacement of the external auditor.
 - f) Filing a motion, if necessary, to dismiss a trustee who fails to achieve the objectives of the endowment or who no longer meets the conditions of trusteeship.
6. Approving applications for the establishment of public and joint endowments which are financed through fundraising, grants, or contributions, and issuing the necessary permits therefor.
7. Collecting the revenues of endowments under the trusteeship of the Authority and disbursing said revenues on their designated purposes as per the endower's conditions and, if necessary, in coordination with the competent authorities.
8. Collecting the revenues of endowments under the administration of the Authority and disbursing said revenues on their designated purposes in accordance with the administration contract and the endower's conditions, and, if necessary, in coordination with the competent authorities.
9. Taking the measures necessary to benefit from movable and immovable property endowed outside the Kingdom for general charitable causes inside the Kingdom, in coordination with the Ministry of Foreign Affairs, and disbursing the revenues thereof on their designated purposes.



10. Taking the measures necessary to promote the culture of endowment through the following:
 - a) Promoting and facilitating the establishment of endowments, and providing endowers, trustees, and potential endowers with the necessary information, advice, and support.
 - b) Developing existing types of endowments and introducing new types in coordination with the relevant authorities.
 - c) Contributing to the establishment of endowment projects and academic and research activities to promote social development and fulfill the conditions of endowers and the purposes of endowments, in coordination with government agencies and non-government entities.
 - d) Raising awareness about the importance of endowments and their economic and social role; organizing seminars, conferences, and other awareness-raising activities; and conducting research and studies in the field of endowments.

Article 6

1. The Authority shall have a board of directors comprising a chairman appointed pursuant to a decision by the Prime Minister as well as 15 members as follows:
 - a) Governor, Member and Vice-Chairman.
 - b) A representative from the Ministry of Islamic Affairs, Endowments, Dawah, and Guidance, Member.
 - c) A representative from the Ministry of Justice, Member.
 - d) A representative from the General Presidency for the Affairs of the Grand Mosque and the Prophet's Mosque, Member.
 - e) A representative from the Ministry of Finance, Member.
 - f) A representative from the Ministry of Social Affairs, Member.
 - g) A representative from the Ministry of Education, Member.
 - h) A representative from the Saudi Commission for Tourism and National Heritage, Member.
 - i) A representative from the General Commission for Guardianship over Property of Minors and those of Similar Status, Member.
 - j) A representative of the charitable societies and associations involved in endowments, Member.
 - k) A businessman who has endowments, Member.
 - l) Two leading experts in the fields of economy and investment, Members.
 - m) A Sharia specialist in financial and economic transactions, Member.
 - n) A representative of private endowment foundations, Member.
2. Representatives from the agencies provided for in paragraphs (b), (c), (d), (e), (f), (g), (h), and (i) shall be of a rank not lower than grade "Fourteen", or its equivalent.
3. The members referred to in paragraphs (j), (k), (l), (m), and (n) shall be appointed pursuant to a resolution by the Council of Ministers, upon a nomination by the Chairman, for a term of three years, renewable once.
4. The remuneration of the Chairman and members of the Board of Directors for attending Board meetings shall be determined pursuant to a resolution by the Council of Ministers.



Article 7

The Board shall be the highest authority overseeing the management of the Authority and the conduct of its affairs. It may, within the limits of this Law, take the necessary decisions to achieve the Authority's objectives, in particular, the following:

1. Propose regulations relating to endowments and submit said regulations to the competent authorities for approval in accordance with applicable statutory procedures.
2. Set, review, evaluate, improve, and update strategies, plans, and policies relating to endowments.
3. Approve the Authority's organizational structure as well as its administrative, financial, and investment regulations and other internal regulations.
4. Approve the budgets, final accounts, and auditor's reports of endowments under the trusteeship of the Authority.
5. Approve the Authority's budget, final accounts, and annual report as well as the auditor's report in preparation for submission in accordance with applicable procedures.
6. Approve the disposition of the assets of endowments under the trusteeship of the Authority for the purpose of increasing the value of said assets in a manner that fulfills the conditions of endowers, whether by the sale of such assets and the purchase of alternative ones, the use of said assets to acquire a share in a company, or any other form of exchange, in accordance with the powers of the Board and subject to Sharia controls and the procedures provided for in the Investment Regulations.
7. Approve the establishment of endowment investment funds and portfolios, the establishment or participation in the establishment of endowment foundations and companies, and the acquisition of shares in existing companies, in accordance with applicable statutory procedures.
8. Approve projects financed by endowments under the trusteeship or administration of the Authority, in accordance with the powers of the Board as specified in the Investment Regulations.
9. Approve the obtaining of loans to finance endowment projects under the trusteeship or administration of the Authority, or for the maintenance and development of existing endowments in a manner that fulfills the endower's conditions, in accordance with the powers of the Board as specified in the Investment Regulations.
10. Accept property endowed to the Authority as well as grants, donations, bequests, and aid allocated thereto.
11. Approve a mechanism for the inventory, registration, and documentation of endowments as well as the protection thereof against any transgression.
12. Approve awareness-raising programs on the importance of endowments and their economic and social role.
13. Approve the establishment of branches for the Authority inside the Kingdom, as needed.
14. Form specialized standing and ad hoc committees from among its members or others, approve the work rules and procedures for said committees, and specify the duties and remuneration of their members, without prejudice to the provisions of Articles 11 and 12 of this Law.
15. Seek the assistance of experts and consultants as necessary, and hire others as needed, in accordance with the rules set by the Board, and determine their remuneration.

The Board may, at its discretion, delegate certain powers to any Authority official or committee as necessary.



Article 8

1. The Board shall convene upon a call by the Chairman at least once every two months, and when the need arises as determined by the Chairman or if requested by four Board members. The invitation must include the meeting agenda.
2. A Board meeting shall be deemed valid if attended by the majority of its members, including the Chairman or Vice-Chairman. Board decisions shall be passed by majority vote; in case of a tie, the meeting chairman shall have the casting vote.
3. The Board shall hold its meetings at the Authority's headquarters, and it may, when necessary, convene elsewhere inside the Kingdom.
4. Board deliberations and decisions shall be recorded in minutes to be signed by the meeting chairman and attending members.
5. The Board may invite specialists and consultants to attend Board meetings in a non-voting capacity.
6. A Board member may not vote by proxy. A member who objects during a meeting may record his objection and the grounds therefor in the meeting minutes.
7. A Board member may not disclose any of the Authority's confidential information he becomes privy to by virtue of his membership in the Board.
8. The Board shall have a secretary general appointed pursuant to a Board decision.
9. The Board shall set its internal regulations in accordance with the provisions of this Law.

Article 9

The Authority shall have a governor whose appointment and dismissal shall be pursuant to a Board decision. The appointment decision shall determine his remuneration and other financial benefits. The Governor shall be in charge of managing the affairs of the Authority. His responsibilities shall be within the limits of this Law and in accordance with Board decisions, and he shall have the following powers:

1. Following up on Board decisions, overseeing implementation thereof, and informing the Board of actions taken thereon.
2. Proposing the Authority's plans and programs and overseeing implementation thereof upon the Board's approval.
3. Proposing the Authority's organizational structure.
4. Overseeing the preparation of the Authority's administrative, financial, and investment regulations as well as other internal regulations, and proposing amendments thereto.
5. Overseeing the Authority's operations in accordance with approved regulations.
6. Overseeing the drafting of laws relating to endowments and presenting said draft laws to the Board for approval in preparation for submission to the relevant agencies in accordance with applicable procedures, and proposing amendments to existing laws.
7. Overseeing the drafting of strategies, plans, and policies relating to endowments and presenting the same to the Board for approval.
8. Overseeing the preparation of the draft annual budget, financial allocations, and final accounts of endowments under the trusteeship of the Authority, and presenting the same to the Board.



9. Overseeing the preparation of the Authority's draft annual budget, financial allocations, final accounts, and annual report, and presenting the same to the Board.
10. Submitting periodic reports to the Board on the Authority's operations and achievements.
11. Overseeing the Authority's employees in accordance with his powers and as specified in the regulations.
12. Approving the Authority's disbursement orders in accordance with the approved annual budget.
13. Representing the Authority before other entities and the judiciary.
14. Assuming the powers conferred upon him by Board decisions and the laws and regulations of the Authority.

The Governor may, at his discretion, delegate certain powers to any Authority official or committee as necessary.

Article 10

The Governor shall have a deputy, or more, appointed pursuant to a Board decision upon a nomination by the Governor. The deputy shall carry out his tasks according to the powers conferred upon him by the Chairman within the limits of this Law.

Article 11

A standing advisory committee named the "Advisory Committee" shall be formed pursuant to a Board decision at the Authority's headquarters. Said Committee shall comprise members other than Board members and Authority employees and it shall report to the Board. The Advisory Committee shall provide Sharia, legal, financial, economic, investment, and social consultations. This shall be as follows:

1. The Committee shall comprise the following:
 - a) Two specialists in the field of economy and investment.
 - b) Two Sharia specialists in financial and economic transactions who have knowledge and expertise in the field of endowments.
 - c) A legal specialist.
 - d) A financial specialist.
 - e) A specialist in social work.
2. The formation decision shall name the Committee's chairman and vice-chairman from among its members.
3. Membership of the Committee shall be for a term of three years, renewable once.
4. The Committee shall have a secretariat with sufficient staff.
5. The Committee shall prepare its internal regulations which shall be approved by the Board.



Article 12

A standing committee named the “Internal Control and Auditing Committee” shall be formed pursuant to a Board decision at the Authority's headquarters. Said Committee shall comprise members other than Board members and Authority employees and it shall report to the Board. This shall be as follows:

1. The Committee shall comprise the following:
 - a) A representative from the Ministry of Interior of a rank not lower than grade “Thirteen”.
 - b) Two specialists in accounting.
 - c) Two specialists in management and performance measurement.
 - d) A legal specialist.
2. The formation decision shall name the Committee’s chairman and vice-chairman from among its members.
3. Membership of the Committee shall be for a term of three years, renewable once.
4. The Committee shall have a secretariat with sufficient staff.
5. The Committee shall prepare the regulations that govern control and auditing as well as the rights and duties of its members and staff which shall be approved by the Board.

Article 13

The Internal Control and Auditing Committee aims to protect the Authority’s funds and assets; ensure the integrity and effectiveness of internal control systems as well as the accuracy and completeness of financial statements and accounting records; ensure the effectiveness and adequacy of administrative and financial operations in a manner that achieves optimal utilization of available resources; and verify compliance with laws, regulations, instructions, policies, and plans. The regulations governing control and auditing activities shall specify the powers entrusted to the Committee by the Board.

Article 14

The Authority shall charge a fee for the administration of endowments not under its trusteeship. The Board shall determine said fee in agreement with the endower or trustee, provided that the fee does not exceed 10% of the annual net income of said endowments.

Article 15

Subject to the endower's conditions and without prejudice to the endowment’s beneficiaries, the Authority may:

1. invest the assets and revenue surpluses of endowments under its trusteeship after conducting the necessary feasibility studies;
2. invest a percentage not exceeding 25% of the annual net income of an endowment under its trusteeship for the benefit of such endowment; and
3. deduct a percentage not exceeding 20% of the annual revenue surpluses of an endowment or endowments under its trusteeship to invest it for the development of other endowments under its trusteeship, provided that the deducted percentage is returned to the account of the endowment within a period not exceeding five years from the deduction date.



Article 16

1. The Authority shall maintain separate accounts for endowments under its trusteeship or administration, independent from the Authority's accounts. Such endowments shall also have separate budgets.
2. The Authority shall maintain separate accounts for the endowments of the Two Holy Mosques.
3. The funds of endowments under the trusteeship or administration of the Authority shall be deposited in separate accounts with the Saudi Arabian Monetary Agency or any licensed Saudi bank.

Article 17

The Authority's fiscal year shall be the same as the State's fiscal year; as an exception, the first fiscal year shall commence on the date this Law enters into force.

Article 18

1. The Authority shall establish a financial accounting system for endowments under its trusteeship or administration which is compatible with the nature thereof and ensures the protection of the funds and investments of the endowments, in accordance with this Law.
2. The Authority shall establish a model financial accounting system for endowments not under its trusteeship or administration to help the trustees of such endowments protect the funds and investments thereof.
3. The Authority's financial regulations shall regulate all financial matters, including the following:
 - a) Accounts.
 - b) Revenues and expenditures.
 - c) Collection of the revenues of endowments under the Authority's trusteeship or administration, and disbursement of such revenues on the designated purposes, in accordance with the endowers' conditions.
 - d) Budget and final accounts.

Article 19

1. The Authority shall have an independent annual budget; the revenues thereof shall consist of the following:
 - a) A percentage determined by the Board that does not exceed 10% of the annual net income of endowments under the trusteeship of the Authority.
 - b) Fees collected for the administration of endowments in accordance with Article 14 of this Law.
 - c) Revenues collected from activities that fall within its functions.
 - d) Annual government subsidy allocated to the Authority in the State's budget.
 - e) Endowments, grants, donations, bequests, and aid allocated to the Authority.
2. The Authority's funds shall be deposited in separate accounts with the Saudi Arabian Monetary Agency or any licensed Saudi bank, and disbursement therefrom shall be made on the Authority and its employees in accordance with the financial regulations approved by the Board.



Article 20

Without prejudice to the jurisdiction of the General Auditing Bureau to audit the Authority's accounts, the Board shall appoint and determine the fees of an auditor, or more, from among the natural or legal persons licensed to practice in the Kingdom to audit the accounts of endowments and the Authority. In case of multiple auditors, they shall be jointly liable before the Board for their work. The auditor's report shall be submitted to the Board, and the General Auditing Bureau shall be provided with a copy thereof.

Article 21

The Authority shall be treated in the same manner as public authorities and organizations in terms of fees and charges.

Article 22

1. The Board shall issue the Authority's employment regulations which shall specify the requirements of employment, the rights and duties of employees, and employee discipline procedures as well as the procedures for termination of employment.
2. The Authority's employees shall be subject to the Labor Law and the Social Insurance Law.

Article 23

The Authority shall, in all its actions and investments, comply with endowers' conditions, the provisions of Sharia, and applicable laws.

Article 24

A Board member, Authority employee, or any of their relatives up to the fourth degree, as well as any person related to the operations of the Authority, may not have a direct or indirect interest in any project or agreement with the Authority, nor may such person engage in purchasing, selling, or any other transaction for his own benefit or for the benefit of a third party using the funds of endowments under the trusteeship or administration of the Authority. Any act in violation of the provisions of this Article shall be deemed null and void.

Article 25

1. This Law shall supersede the Law of the Supreme Council for Endowments issued by Royal Decree No. M/35, dated 18/7/1386H, and shall enter into force 90 days following the date of its publication in the Official Gazette.
2. Notwithstanding Article 223 of the Law of Civil Procedure issued by Royal Decree No. M/1, dated 22/1/1435H, the provisions of this Law shall apply to endowments under the Authority's trusteeship.
3. This Law shall repeal any provisions conflicting therewith, including the provisions stipulated in the Law of the General Commission for Guardianship over Property of Minors and those of Similar Status issued by Royal Decree No. M/17, dated 13/3/1427H.



Appendix

Amendments

January 30, 2017 (Jumada I 2, 1438H)

Council of Ministers Resolution No. 261 provides for the following:

- Replacing the phrases "Ministry of Social Affairs" and "Ministry of Labor" with the phrase "Ministry of Labor and Social Development" and replacing the phrases "Minister of Social Affairs" and "Minister of Labor" with the phrase "Minister of Labor and Social Development" wherever mentioned in laws, regulations, decrees, orders, resolutions, bylaws, and instructions.

January 30, 2017 (Jumada I 2, 1438H)

Council of Ministers Resolution No. 262 provides for the following:

- Replacing the phrase "comprising a chairman appointed pursuant to a decision by the Prime Minister" with the phrase "chaired by the Minister of Labor and Social Development" in the beginning of paragraph (1) of Article 6.

February 25, 2020 (Rajab 1, 1441H)

Royal Order No. A/455 provides for the following:

- The Ministry of Civil Service shall be merged with the Ministry of Labor and Social Development and named the "Ministry of Human Resources and Social Development".
- The "Saudi Commission for Tourism and National Heritage" shall become a ministry named the "Ministry of Tourism".

June 1, 2021 (Shawwal 20, 1442H)

Council of Ministers Resolution No. 618 provides for the following:

- Amending subparagraph (f) of paragraph (1) of Article 6 by replacing the representative from the Ministry of Human Resources and Social Development with a representative from the National Center for Non-Profit Sector in the Authority's Board of Directors.

June 8, 2021 (Shawwal 27, 1442H)

Council of Ministers Resolution No. 638 provides for the following:

- Replacing the phrase "a representative from the Ministry of Tourism" with the phrase "a representative from the Heritage Commission" mentioned in subparagraph (h) of paragraph (1) of Article 6.

June 21, 2022 (Thul-Hijjah 22, 1443H)

Council of Ministers Resolution No. 651 provides for the following:

- Replacing the phrase "chaired by the Minister of Human Resources and Social Development" with the phrase "comprising a chairman appointed pursuant to a decision by the Prime Minister" in the beginning of paragraph (1) of Article 6.



December 25, 2022 (Jumada II 1, 1444H)

Royal Decree No. M/72 provides for the following:

- Adding a paragraph to be numbered (2) to Article 21 to read as follows:

"Article 21

1. The Authority shall be treated in the same manner as public authorities and organizations in terms of fees and charges.
2. Charitable endowments and charitable shares in joint endowments which are registered with the Authority shall be exempt from the provisions of the Law of Judicial Fees.